

# Ingrid Capacity AB (publ)

## Company note — Nordic grid-scale battery storage, read in three dimensions

*Independent work sample. Figures from Ingrid Capacity's unaudited Q2 2026 interim report, the company's press releases of 23 September and 6 October 2026, and Svenska kraftnät's 2025 annual report. Amounts in Swedish kronor unless stated.*

## 1. What the company is

Ingrid Capacity is a Swedish battery energy storage (BESS) company headquartered in Stockholm. It describes itself as a vertically integrated BESS expert and states the ambition of becoming an integrated flexibility provider: it develops storage projects, holds stakes in them, operates them, and sells optimisation and grid services around them.

At the end of Q2 2026 the portfolio stood at 446 MW / 645 MWh, of which 316 MW / 316 MWh was in commercial operation and 130 MW / 329 MWh under construction. Including the two projects added through the Mirova partnership in September, the company reports more than 950 MWh deployed and under management — wider than the owned portfolio, since it counts assets Ingrid operates without owning. One line in the CEO's comments matters more than the headline capacity: *"our existing asset base, where Ingrid is a minority owner."* The megawatt-hours are under management, not on the balance sheet. That distinction runs through everything below.

## 2. How it makes money

Not, primarily, by selling electricity services from batteries it owns.

In the first half of 2025 the group booked SEK 58.5m of development premiums from projects sold, within total operating income of SEK 78.1m. A year later those premiums were absent. Net revenue for the first half of 2026 was SEK 2.2m against SEK 71.5m (a 97% fall) while total operating income fell 77% to SEK 17.9m, of which SEK 15.6m was own work capitalised rather than income from customers. The CEO confirms no projects were sold during the second quarter, in which net revenue turned negative at SEK -4.0m against +7.5m a year earlier, after a contingent purchase price from an earlier sale was revised down.

The model has three legs:

**Development margin.** Secure land with grid connection, take the project through permitting to ready-to-build, then sell it or bring in a partner. This is where the money has come from, and it arrives when transactions close and not otherwise.

**Minority equity.** Ingrid retains a stake in what it develops, giving exposure to operating revenues without funding the full capital cost.

**Recurring services.** Technical and commercial asset management, EPC management, and optimisation. The company calls the combination *"a high margin, capital-efficient business model"*.

The September partnership with Mirova, an affiliate of Natixis Investment Managers, is the model in one transaction: €65m from the investor into 145 MW / 290 MWh across Pedersöre in Finland (45 MW / 90 MWh, ready to build) and Vaggeryd in Sweden's SE3 price area (100 MW / 200 MWh, ready to build expected 2027), with Ingrid retained to develop, operate and optimise both. Mirova's investment director singles out *"an offtake agreement for the Pedersöre project"* as part of what makes the risk-return profile acceptable.

### 3. The market grows in total and migrates in product

Svenska kraftnät's net cost for ancillary services in the transmission business line was SEK 5,516m in 2025, against SEK 2,346m in 2024 and SEK 3,285m in 2023. The TSO states the driver plainly: the need for ancillary services is rising, mainly driven by the energy transition.

The total conceals a violent change of mix.

| Net cost to Svenska kraftnät (SEK m)       | 2023  | 2024  | 2025  |
|--------------------------------------------|-------|-------|-------|
| FCR-D (frequency containment, disturbance) | 3,248 | 1,386 | 498   |
| mFRR (manual frequency restoration)        | 37    | 960   | 5,018 |

*Transmission business line (Transmissionsnät). For this business line Svenska kraftnät defines ancillary services as FCR-D and mFRR only, which is why the two rows sum exactly to the reported net total in each year — SEK 5,516m, 2,346m and 3,285m. Group-level ancillary costs are higher and not comparable.*

FCR-D (the product that underwrote the first wave of Nordic grid batteries) has fallen 85% in two years. Svenska kraftnät names the cause: more participants, an increase in new types of resources *including energy storage*, and lower power prices. The batteries competed the revenue away from themselves.

The money moved to mFRR. The Swedish mFRR capacity market opened in October 2023, joined a common market with Finland and Denmark in November 2024, and scaled gradually from the fourth quarter of 2024 and then sharply in February and March 2025 ahead of the automated energy activation market launched on 4 March 2025. Prices rose, in the TSO's words,

because market supply was still small and had not adapted. The same report notes that during the later part of 2025 mFRR price levels came back down.

Two things follow. The mFRR redesign was made partly to admit batteries, bid size dropped to 1 MW and duration requirements were shortened explicitly to allow more resources, *"for example batteries"*. And the cycle that flattened FCR-D is already visible in its replacement.

The market is real and growing. Revenue per megawatt in any one product is not stable.

## **4. Reading the company in three dimensions**

### **Return**

The capital-light structure is a rational response to section 3. A company owning merchant batteries outright in Sweden would have watched its principal revenue line fall by 85% since 2023. Developing, selling, retaining a minority stake and charging to run the asset moves earnings one step away from spot exposure; the Mirova offtake moves another step towards contracted revenue.

What the structure does not remove is the dependency. Development premiums are paid by investors who underwrite the same operating revenues. If the merchant outlook weakens, what a Mirova will pay for a ready-to-build project weakens with it, on a lag. The exposure is converted from direct to derived, not eliminated.

And the near-term picture is strained. External costs rose 51% year on year in the quarter to SEK 57.9m while income fell 61%. The half-year loss was SEK 88.6m, more than the SEK 50.0m lost in all of 2025. Own work capitalised (SEK 8.3m in the quarter) exceeded total operating income (SEK 4.4m); an entry, not cash.

Cash stood at SEK 216.7m at June 2026 against SEK 28.0m a year earlier, with a further SEK 125m restricted in escrow. In the half year the group consumed SEK 53.4m in operating cash flow and SEK 23.2m in investing excluding the escrow transfer — SEK 76.6m in total. At that rate, and assuming no project sales, unrestricted cash covers roughly five quarters, or seven with the new facility drawn. The assumption is the point: much of the outflow is development spend that becomes saleable inventory, so a single closing resets the arithmetic. The company is not short of cash; it is short of transactions.

## Risk

**Earnings are transaction-dependent and the transactions stopped.** No projects were sold in Q2 2026. For a business whose income arrives in lumps, one empty quarter is not a trend; two would be.

Equity is being consumed against a covenant that tests it. Group equity fell from SEK 417.5m at December 2025 to SEK 331.4m at June 2026. In May 2026 the company issued SEK 400m of senior secured bonds at three-month Stibor plus 660 basis points within a SEK 1,000m framework, of which SEK 125m sits in escrow. In September 2026, four months later, the group added a SEK 75m super senior revolving credit facility with SEB and DNB maturing 31 March 2029. Super senior ranks ahead of the bonds on the security, so the incremental liquidity comes at the cost of subordinating the bondholders who funded the balance sheet in May. The terms carry quarterly-tested covenants on minimum liquidity and equity ratio, with an interest cover ratio added from mid-2027. The company's own risk note states that an unremedied breach could accelerate repayment, and that refinancing at maturity in May 2029 will depend on capital market conditions at the time. An equity cure mechanism exists.

The equity ratio itself is not disclosed, but it follows from the balance sheet: 95.5% at June 2025, 87.7% at December 2025, 43.5% at June 2026. It halved in a single half-year, and from both directions at once — the numerator fell with the loss while the denominator rose as the bond took total assets from SEK 476m to SEK 761m. The ratio a covenant tests every quarter has moved further in six months than any operating figure in the report.

**Product risk, not market risk.** The relevant question is not whether flexibility demand grows, but whether the business can keep repositioning to wherever scarcity currently sits. FCR-D to mFRR took eighteen months.

**Reporting.** The interim report is unaudited and prepared under Swedish K3 rather than IFRS. The split between development premiums and recurring service fees is not disclosed, precisely the split a buyer would want.

## Impact

The intuitive case is that storage enables renewable integration and therefore decarbonisation. Under a framework that asks why every line is in the portfolio, that case needs three qualifications.

**What the asset displaces depends on the system it sits in.** A battery providing balancing services reduces the need for whatever plant would otherwise have done the balancing. In a gas-balanced system that is a direct emissions saving. Sweden's power system is already largely

fossil-free and has historically balanced on hydro, so the near-term avoided-emissions case for Nordic BESS is weaker than the sector narrative implies. The impact argument rests less on displacing carbon today and more on enabling future wind and solar build, relieving grid constraints and avoiding curtailment. That is a real argument, but it is a different one, and it should be made explicitly rather than assumed.

**Additionality improves as returns deteriorate.** When FCR-D paid SEK 3.2bn a year, batteries were built on merchant economics and capital was not scarce. With that revenue down 85%, fewer projects clear on their own. Capital deployed into Nordic storage in 2026 is therefore more additional than the same capital in 2023, the uncomfortable corollary being that the better the impact case becomes, the harder the return case gets.

**Deployed MWh is an input, not an outcome.** The company reports capacity under management, which measures effort rather than effect. An outcome metric would be avoided curtailment or avoided emissions, which depends on the marginal unit displaced and is not disclosed.

## **The trade-off the framework forces**

There is a structural point here that a two-dimensional view would miss entirely.

The impact is produced by the asset. The asset is funded by the investor who buys it — Mirova, in this case. Ingrid's capital-light model is attractive precisely because it earns a return on someone else's balance sheet. So an investor backing *Ingrid* buys a return stream correlated with the impact but does not directly fund it; an investor backing *the asset* does.

Both can be legitimate. A platform that develops projects others could not, and runs them better than others would, creates impact that would not otherwise exist. But the two positions sit in different places on the impact dimension, and the choice between them is exactly the kind of trade-off a three-dimensional approach is supposed to surface rather than average away.

## **5. What I would want to know**

- What share of revenue is recurring service and optimisation fees, and what share is development margin on sales? The investment case turns on this and the accounts do not answer it.
- The equity ratio stood at 43.5% at June 2026. What is the covenant level, how much headroom does that leave, and what would the equity cure mechanism require of shareholders if it were breached?
- What does the pipeline of powered land with secured grid connection look like, in MW and by price area? Grid connection queues, not technology, are the barrier to entry here.

- On the Mirova offtake: what tenor, what counterparty, and what share of expected asset revenue does it cover?
- How much of the operating fleet's revenue came from FCR-D in 2024 and 2025, and how much has been redirected to mFRR?
- On impact: what is the marginal unit displaced in the price areas where the assets sit, and does the company measure anything beyond MWh deployed?

## **6. Governance**

Axel Holmberg is CEO; Niklas Möller chairs the board, which includes Ibrahim Baylan, a former Swedish minister for energy and for business; unusual and relevant in a company whose economics depend on grid connection and on ancillary market design. Gilles Lafleuriet joined as CFO on 1 October 2026 from Obligo, where he was Partner and Head of Sweden, after senior roles at Nordea Asset Management and Infranode. Appointing a CFO drawn entirely from infrastructure investment, five months after a first bond issue and while entering new European markets, reads as preparation for the next financing round rather than for steady state.